Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	-0.0034	-0.0029	-0.0029
	(0.0031)	(0.0036)	(0.0036)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0172	0.2270	0.2334
Outcome mean (separate)	0.0406	0.0406	0.0406
Joint regression	-0.0001	-0.0002	-0.0010
	(0.0039)	(0.0045)	(0.0046)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.0406	0.0406	0.0406
985 vs. other schools	-0.0043	-0.0038	-0.0035
	(0.0032)	(0.0037)	(0.0037)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0173	0.2270	0.2335
Outcome mean (categories)	0.0406	0.0406	0.0406
Restatement			
Separate regression	0.0002	-0.0032	-0.0030
	(0.0023)	(0.0028)	(0.0029)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0155	0.2100	0.2170
Outcome mean (separate)	0.0209	0.0209	0.0209
Joint regression	0.0034	-0.0011	-0.0008
	(0.0028)	(0.0034)	(0.0035)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.0209	0.0209	0.0209
985 vs. other schools	-0.0006	-0.0039	-0.0037
	(0.0024)	(0.0029)	(0.0030)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0156	0.2100	0.2171
Outcome mean (categories)	0.0209	0.0209	0.0209
Violation			
Separate regression	-0.0041*	-0.0003	-0.0008
	(0.0024)	(0.0027)	(0.0027)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0084	0.2166	0.2216
Outcome mean (separate)	0.0246	0.0246	0.0246
Joint regression	-0.0037	0.0008	-0.0005
	(0.0031)	(0.0036)	(0.0036)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.0246	0.0246	0.0246
985 vs. other schools	-0.0041*	-0.0006	-0.0008
	(0.0024)	(0.0027)	(0.0028)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0084	0.2166	0.2216
Outcome mean (categories)	0.0246	0.0246	0.0246

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.